

individuals sourced through various agencies. Known as Project Insight, which started way back in 2016, it has an integrated data warehousing and business intelligence platform that uses data analytics and mining to create a 360-degree profile of taxpayers and identify non-filers.

The CBDT has, over the years, expanded Project Insight into Project Insight 2.0 with new functionalities such as the Income Tax Transaction Analysis Centre (INTRAC) and the Compliance Management Centralised Processing Centre (CMCPC). While the INTRAC leverages data analytics and performs tasks related to data integration, data processing, data quality monitoring, data warehousing, master data management, data analytics, web and text mining, alert generation, compliance management, enterprise reporting and research support, the CMCPC uses campaign management approach (SMS, reminders, outbound calls, letters) to support voluntary compliance and resolution of compliance issues.

Gokul Chaudhri, President, Tax, Deloitte South Asia, says at the centre of Project Insight is a powerful system that brings together data from multiple sources and uses analytics to spot discrepancies. “The core purpose is to widen the tax base and discourage underreporting,” he says.

The linking of PAN and Aadhaar has also helped the department understand the genuineness of transactions, while the use of databases from various sources has brought it a wealth of information about taxpayers. For instance, the tax department taps into GST returns, bank transactions, mutual fund payments and even social networking sites to profile taxpayers’ spending habits. Not just that, the department is also looking at big-ticket cash splurges, be it for weddings, shopping, foreign travel or even IVF treatments. The CBDT is also rolling out Digital Intelligence and Analytics Labs in various parts of the country for forensic analysis of data.

Kuldip Kumar and Tanu Gupta, Partners, Mainstay Tax Advisors, say it has been quite some time since the government started collecting data on financial transactions through tax returns, Annual Information Returns and TDS and TCS returns. Now, linking of these transactions with PAN and Aadhaar has significantly improved the accuracy of the data, they say, adding that the government has also invested heavily in modern technologies and automated processes,

which have enhanced its data analytics capabilities and plugged revenue leakages. India now has information exchange agreements with over 170 countries, which has strengthened the government’s ability to detect unreported overseas income and assets, they point out. In recent years, the tax authorities have contacted several taxpayers with foreign income and assets to reconcile its information with the tax returns filed by them.

Meanwhile, to help taxpayers, the CBDT has taken initiatives such as the Annual Information Statement (AIS) and the Taxpayer Information Summary (TIS) that give a complete statement of financial transactions in a reporting year. This allows them to verify the accuracy of the information and flag any discrepancy.

The CBDT has also introduced a new form, 26AS,

## THE USE OF DATABASES FROM VARIOUS SOURCES HAS BROUGHT THE I-T DEPARTMENT A WEALTH OF INFORMATION ABOUT TAXPAYERS

59

which has information about deduction or collection of tax at source, specified financial transactions, and tax demands, payments and refunds. It has also brought in pre-filled income tax returns (ITRs) for individual taxpayers as well as a provision for filing an updated return by voluntarily admitting omissions or mistakes and paying the additional tax if applicable. It has also launched an e-verification scheme allowing taxpayers to disclose unreported or under-reported income in the updated ITR. Thanks to data analytics, taxpayers receive notifications via SMS or email regarding financial transactions. This has improved compliance. For instance, if you have claimed HRA exemption and pay rent of over ₹50,000 per month without deducting TDS, the income tax department is likely to send you a reminder message. Similarly, in case of a mismatch between capital gains transactions and TDS/TCS data, the taxpayer will get a message. The use of computer assisted scrutiny, algorithms and data analytics helps the department weed out inconsistencies